

Division 296

Cost Base Reset Model

Adviser Edition · v3.4.0 · *Built 2026-06-22*

For SMSF advisers who don't use CLASS Super as administration software.

Model the impact of the Division 296 cost-base reset election on an SMSF in five minutes. One inputs tab, two scenarios side by side, one printable client tearsheet.

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ILLUSTRATIVE ONLY — NOT FINANCIAL, TAX OR LEGAL ADVICE. Confirm every figure against the final ATO method and the fund's tax position before relying on it.

Quick Start

Three steps. Five minutes. One headline number.

Three steps to a result

1

Inputs → Members (rows 7–10).

Type each member's TSB into column B. Split %, \$3m–\$10m band, and above-\$10m band derive automatically.

2

Inputs → Asset register (rows 16–65).

For each CGT asset held at 30 June 2026: original cost base (C), market value at 30 Jun 2026 (E), projected sale proceeds (G), held > 12 months (I). Column H is a locked formula — don't edit.

3

Comparison tab.

Read the three headline cards: If no reset · If elected · Net effect. Negative net effect (green) = the reset saves Division 296 tax.

The four tabs

Inputs

the only tab you edit.

Comparison

auto + printable client tearsheet.

Analyser

auto. Fund summary, per-asset detail, reconciliation.

Notes

terminology, full caveats, valuation log.

Where the answer lives

Comparison tab → Headline cards (top of the tearsheet). Three numbers: total Div 296 tax under each scenario plus the signed net effect.

- **Negative net effect** — reset reduces Division 296 tax — typically on assets sitting at an unrealised gain at 30 June 2026.
- **Positive net effect** — reset increases Division 296 tax — the 'reset trap' on assets at an unrealised loss.

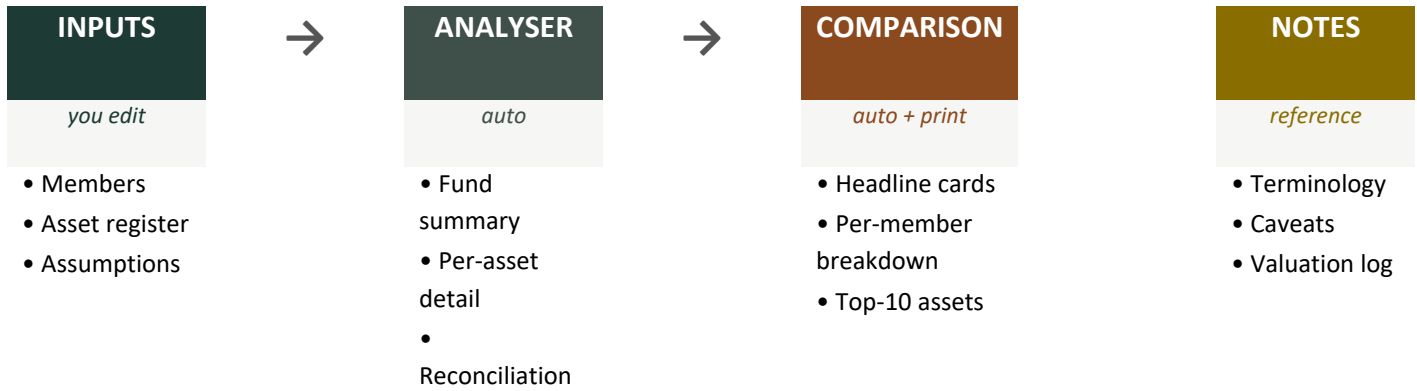
Two safety banners to watch on Inputs

Red — formulas in the register. You used Ctrl+V instead of Paste-Special > Values. Press Ctrl+Z, re-paste as values.

Red — proceeds without 30 Jun 2026 value. Any row with column G filled but column E blank is silently excluded from every figure. Fill column E, or clear column G.

Workbook at a glance

The four tabs, what each does, and how data flows between them.



Read the arrows: Inputs feeds the Analyser; the Analyser drives the Comparison tearsheet. Notes sits to the side as reference — it never feeds a tax figure.

Contents

Click any entry to jump to that section. The auto-TOC below populates when Word updates fields (right-click → Update Field).

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Manual fallback (always works)

Use this if the auto-TOC above shows the placeholder text instead of a list.

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Inputs reference

Column-level reference for the Inputs tab — the only tab you edit. Everything else in the workbook flows from here.

Section 1 — Members (rows 6–12)

Up to four members. Edit columns A (label, free text) and B (TSB, dollars). Three derived columns are read-only:

- **Split %** — $\text{TSB} \div \text{total fund TSB}$.
- **Band 1 (3m–10m)** — $\text{MAX}(0, \text{MIN}(\text{TSB}, \$10\text{m}) - \$3\text{m}) \div \text{TSB}$. Taxed at 15%.
- **Band 2 (> 10m)** — $\text{MAX}(0, \text{TSB} - \$10\text{m}) \div \text{TSB}$. Taxed at 25%.

Traffic-light banner above the Members table reads green (no Div 296), amber (\$3m–\$10m), or deep amber (above \$10m). Use it as the applicability check before reading any other number.

Section 2 — Asset register (rows 15–65, 50 rows)

Col	Header	Notes
A	Asset code	Short identifier. Free text.
B	Asset name	Plain description (e.g. 'Commercial property').
C	Original cost base	Pre-reset cost base — used for ordinary CGT regardless of the reset election.
D	Current market value	Context only; not used in tax calcs. Useful sanity-check for reviewers.
E	Market value at 30 Jun 2026	Load-bearing. Becomes the Div 296 cost base under the reset scenario. Garbage in, garbage out.
F	Valuation source / date	Free text. Mirrored verbatim into the Notes valuation log for audit trail.
G	Projected sale proceeds	Expected cash on disposal. Blank = row excluded from totals (the amber tripwire fires).
H	Projected gain/loss	Locked formula = proceeds – original cost base. Do not edit.
I	Held > 12 months?	Yes / No dropdown. Drives the 1/3 CGT discount under s115-100 ITAA 1997.

Section 3 — Advanced assumptions (rows 67–75)

Eight named-range cells that feed every downstream formula. Touch only if the ATO publishes a change. Defaults match the enacted law at the build date:

- `rate_tier1` = 15% (slice \$3m–\$10m).
- `rate_tier2` = 25% (slice above \$10m).
- `threshold_1` = \$3,000,000 · `threshold_2` = \$10,000,000.
- `discount_rate` = 1/3 (s115-100 ITAA 1997).
- `fund_cgt_rate` = 15% (accumulation phase).
- `indexation_increment_1` / `_2` (forward-modelling only — not applied to Year 1).

Reading the Analyser

Fund summary (rows 6–13)

Side by side: If no reset · If elected · Difference. Bottom row ('Total Div 296 tax') is the headline. The Difference column is signed; negative (green) = reset saves tax, positive (red) = reset costs more tax.

Per-asset analysis (rows 15–67)

Always reflects the elected-reset scenario. Most-read columns:

- **K — Div 296 tax** — Authoritative per-asset Div 296 tax (pro-rata of the elected-reset headline).
- **L — Reset impact** — Signed delta. Negative = reset reduces this asset's Div 296 burden. Positive = reset-trap candidate.
- **E, G — Ord gross gain / Ord CGT (info only)** — Greyed. Do NOT sum to the fund Ord CGT because s102-5 capital-loss netting happens at the fund level, not per asset. Read the Reconciliation panel for the authoritative number.

Reconciliation (rows 70–74)

Authoritative fund-level totals: ordinary CGT after intra-year capital-loss netting (s102-5 method, then s115-100 1/3 discount on the discountable residue), Division 296 tax payable, and any current-year net unused capital loss carried forward.

Comparison tearsheet

Print-ready landscape A4. Use as a client meeting handout or file note without editing. Order top to bottom:

- Header strip — fund, prepared by, date, version.
- Members & TSB strip.
- Headline cards — Div 296 tax under each scenario plus signed net effect.
- Per-scenario subtotals — Earnings, Ord CGT (unchanged), Div 296 tax, Total burden.
- Per-member breakdown — TSB and Div 296 tax for both scenarios.
- Per-asset detail — top 10 by $|\Delta \text{Div 296 tax}|$. Overflow note points at the Analyser for the full register.

Caveats

Hold these in mind whenever you read a figure. They are material and several work in opposing directions.

- **Prior-year carry-forward capital losses are NOT modelled.** — Apply any prior-year carry-forward outside the model.
- **Pension phase is NOT modelled.** — Assumes 100% accumulation phase. Overstates ordinary CGT for funds with pension members.
- **Reset-OFF scenario is realised-only.** — Under enacted Division 296, no-reset earnings are assessed on year-on-year TSB movement (realised + unrealised). Comparison understates the no-reset burden.
- **Multi-member splits are TSB-proportional.** — Real funds use an actuarial certificate on time-weighted balances.
- **Wash sale / Part IVA risk.** — Pre-30 June 2026 disposals undertaken purely for tax outcome sit in anti-avoidance territory (TR 2008/1, Part IVA).
- **Transaction costs not modelled.** — Brokerage, stamp duty, liquidity drag, market-timing risk excluded.
- **Sheet protection is tamper-evident, not tamper-proof.** — Protection (where applied) is passwordless.

Troubleshooting

You see	What it means	Do this
Yellow 'Sample data preloaded' badge persists.	Sample input (P1/S1/L1 codes or seeded TSBs) still present.	Overwrite every sample cell on Inputs; badge clears automatically.
Red banner: proceeds without 30 Jun 2026 value.	Those rows are excluded from every figure.	Fill column E, or clear column G.
Red banner: formulas in the register.	A non-values paste left live formulas in register cells.	Press Ctrl+Z to undo, then Paste-Special > Values.
TSB diagnostic banner is deep amber.	At least one member's TSB exceeds \$10m — 25% above-\$10m tier applies.	Read Comparison tearsheet for the modelled impact. No input change.
Per-asset Ord CGT (col G) doesn't sum to Reconciliation Ord CGT.	Correct behaviour. Loss-netting at fund level (s102-5), not per asset.	Rely on Reconciliation for the authoritative figure.

Cheat sheet

Tear-off reference. Keep next to the workbook.

Inputs columns at a glance

- A · Asset code (free text)
- B · Asset name (free text)
- C · Original cost base (ordinary CGT basis — unchanged by reset)
- D · Current market value (context only)
- E · Market value at 30 Jun 2026 (load-bearing — Div 296 basis under reset)
- F · Valuation source / date
- G · Projected sale proceeds (blank → row excluded)
- H · Projected gain/loss (locked formula — do not edit)
- I · Held > 12 months? (drives 1/3 CGT discount)

Banners — colour, meaning, action

Colour	Means	Do this
Yellow	Sample data still loaded.	Overwrite every sample cell.
Red	Formulas in register (Ctrl+V used).	Ctrl+Z, Paste-Special > Values.
Red	Proceeds without 30 Jun 2026 value.	Fill col E or clear col G.
Amber	TSB > \$10m — 25% tier applies.	No action; read Comparison.

Keyboard tricks

- **Paste-Special > Values** — Ctrl+Alt+V then V — the only safe way to paste into the register.
- **Undo** — Ctrl+Z — recovers from a bad paste.
- **Word Navigation Pane** — Ctrl+F1 (this guide) → View → Navigation Pane.

Where the headline lives

Comparison tab → Headline cards at the top. Three numbers: If no reset · If elected · Net effect (signed).

Five caveats that change numbers

- Prior-year carry-forward losses — apply outside the model.
- Pension phase — not modelled (model overstates Ord CGT for pension members).
- No-reset is realised-only — understates no-reset Div 296 burden.
- Multi-member split is TSB-proportional, not actuarial.
- Transaction costs (brokerage, stamp duty, liquidity) excluded.

Verifying the version

Notes tab → unhide the rows immediately below the valuation log to see build_version, build_date, git_short_sha.